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Executive Summary

The HoRizon Collective argues that the future of work is not predetermined by artificial intelligence; it remains a design choice. Although AI will increasingly perform tasks, workflows and forms of knowledge work, organisations can choose to use it primarily to augment human capability rather than simply reduce headcount. HR has a particular “Duty of Care” to lead this transition, ensuring that technological progress creates sustainable value while preserving human contribution, development and dignity.

The paper focuses on a seven-to-ten-year horizon in which AI has diffused throughout organisations and society. It advances six working assumptions: conventional time-and-place measures of labour will weaken; organisations will manage broader workforce ecosystems rather than employees alone; knowledge will become less valuable than judgement, creativity, connection and orchestration; static jobs will give way to fluid combinations of work and capability; hierarchy will become less central; and operating models will be organised increasingly around workflows and value creation rather than functions.

At the centre of the proposed framework is the New Workforce Ecosystem. This encompasses three interconnected sources of productive capability:

- Human labour, including permanent employees, contractors, temporary workers, project specialists, gig workers and fractional leaders.
- Service labour, ranging from consultancies and managed services to outcome-based providers and agentic service platforms.
- Digital labour, including automation, chatbots, autonomous agents, multi-agent systems and digital workers.

Managing this ecosystem requires organisations to shift their focus from headcount and employment to productive capability. HR should lead its orchestration, but success will depend on close cooperation with Technology, Procurement, Finance, Legal, Compliance and business leaders.

This expanded mandate would make HR the architect of work rather than merely the orchestrator of employment. The function will need to design work instead of static jobs; create distinct but connected lifecycles for human, external and digital contributors; replace the Employee Value Proposition with a broader Work Value Proposition; rethink performance, contribution and reward in mixed human–AI teams; and establish governance covering fairness, transparency, privacy, intellectual property and accountability. New capabilities in workflow design, capability marketplaces, human–AI collaboration and digital-labour governance must therefore be developed now.

Organisational Development must evolve in parallel. Industrial-era organisations designed around hierarchy, functional silos and periodic restructuring are poorly suited to abundant, distributed intelligence. AI-forward organisations should instead operate as adaptive systems: authority is distributed with appropriate governance, work flows horizontally across functional boundaries, managers enable performance rather than supervise execution, and teams and capabilities reconfigure continuously around opportunities. Human strengths—including judgement, ethics, empathy, creativity, relationships and meaning-making—become more important as routine cognitive work is automated.

The immediate executive implication is that AI should be treated as an operating-model challenge, not simply a technology implementation or cost-reduction programme. Leaders should begin redesigning workforce architecture, workflows, governance, incentives and organisational structures during the



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current period of gradual AI diffusion. The organisations that act early can build a human-centred advantage; those that wait risk years of disruptive retrofitting.

The white paper is intended as the foundation for a longer programme of collective inquiry. Over the next two years, the HoRizon Collective plans to develop practical perspectives across areas like learning, leadership, talent management, reward and talent acquisition, culminating in a 2028 playbook. Its central message is clear: the future of work is already taking shape, everyone has agency in shaping it, and deliberate action must begin now.



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The HoRizon Collective: Exploring the Future of Work in the Age of AI

AI is transforming work and challenging the Industrial-era assumptions that underpin our organisations, faster and more deeply than any technology before it. We cannot predict with any precision what work will look like seven to ten years from now. We can however, collectively, read the signals that show how AI will reshape work and organisations.

With each passing week, AI gets better at doing work. Agents complete tasks and, increasingly, whole workflows without supervision. AI builds spreadsheets, drafts decks, runs analysis, writes code and carries out extensive research. All of this within a few years of the technology becoming widely available, and it advances with every model release.

Public unease is growing just as fast as AI's progress. At best, AI is set to dramatically disrupt work. At worst, AI will take the majority of our jobs. In the West, many headlines assume AI is a like-for-like substitute for human labour, and that companies can and will eventually replace a substantial part of their human workforce with digital, AI-enabled workers. This dominant narrative tells us there is nothing we can do, that this is simply the way it is.

The problem with that thinking is that it leaves no room for alternatives. It closes down an incredibly complex, multifaceted situation before we have explored it with any optimism or creativity. We do not accept this. The future of work is not a foregone conclusion, and there is still time to shape it. We, the humans, can co-create this future ourselves. It's not something that's done to us, against our will. An AI-enabled future does not need to come at the cost of millions of jobs. We still have time to design organisations that value our human workforce for their unique contributions and make the most of the technology available to them. This is a yes/and situation, in which everyone has agency to make a difference.

The HR function must lead that change if we are to create this future. We have a responsibility to the organisations we serve and the people in them, to shape the future of work rather than wait to see how it unfolds. No one can figure this out alone. That's why we created The HoRizon Collective, where we bring together a group of HR leaders to explore and co-create solutions for the future of work in the Age of AI. The societal level shift before us is as much about the people as it is the technology, which is why we believe that HR has an essential role to play in shaping the future.

We call this HR's Duty of Care: that HR has an ethical and moral obligation to the people and organisations we serve to create this future rather than have it imposed on us.¹ That means re-conceptualising and co-designing a human-focused, AI-forward future by reshaping work, our own function and the organisations we support. It means deciding what to do today to reach a future where work makes full use of AI, while augmenting the people who do it...and it starts with thinking about what work looks like in a decade.

This white paper is the foundation for what comes next, so we share a common starting point and move forward as united as possible in our collective effort, through The HoRizon Collective.

We begin by setting out six assumptions about the future of work. From there we present the New Workforce Ecosystem, which serves as the essential building block in our thinking. It expands the definition of work to include every way work can be sourced and contracted: human and digital, permanent and temporary. This expanded definition then forces a rethink of what we have historically called Human Resources, so that it now covers all other forms of labour. We describe this as the shift

¹ Duty of Care, Work Evolved. By: R. Agoston (2025) - <https://workevolved.substack.com/p/duty-of-care>



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from managing employment to orchestrating productive capability. Finally, it requires new principles for designing our organisations and workflows, which we cover in the last chapter, the new approach for organisational development. Together, the proposed changes for the New Workforce Ecosystem, the HR Function and how we approach OD form the framework the HoRizon Collective will use going forward.

What is the change before us?

AI is a normal technology, following the same slow diffusion path as electricity and the internet before it: it will take time to spread fully across our organisations and society.² Real barriers to scaling remain: data centres need to be built, water and energy resources are constrained, we are in an overhyped AI funding bubble, and anti-AI sentiment is growing.

We believe diffusion is a good thing, buying us a bit of time to transition our organisations to an AI-forward future. But the window to prepare is measured in months, even if the change itself plays out over years. We must all start thinking about the future today. And whilst it's hard to plan for an unknown, complex future, there are some signals that already show how work and AI will unfold:

- Horizon 1 (now to 3 years): Most companies are experimenting, piloting and working out what AI means for their workforce and organisations, with mixed results. Some areas of repetitive knowledge work will see significant job loss as AI augments them.
- Horizon 2 (3 to 7 years): The impact deepens and job losses peak. Ambient AI takes hold, and new approaches such as World Models change workplaces further and faster than today, especially as companies get the foundations in place such as data management.
- Horizon 3 (7 to 10 years onwards): AI has fully diffused across our organisations and society. This is the settled state we are designing for, where work, the workforce and the organisation have (hopefully) reshaped around abundant intelligence.

It's important to note that progress will not be linear: the jagged frontier means AI improves at some things faster than others, so the impact on work and jobs will be uneven.³ Some will feel it more than others, and we will all struggle to find our footing. No one size fits all, but the choices we make today deeply matter. If we are to build towards a long-term, human-focused and sustainable future, then we must start designing it today.

That is why we focus on Horizon 3. Our focus is what this means for human labour in knowledge work: the future workforce, the HR function, the workforce lifecycle and the organisational implications that follow. To design that future, we first need to agree on some working assumptions about what work could look like in Horizon 3.

² AI as Normal Technology. A. Narayanan and S Kapoor (2025) - <https://www.normaltech.ai/p/ai-as-normal-technology>

³ The Shape of AI: Jaggedness, Bottlenecks and Salients (2025) - <https://www.oneusefulthing.org/p/the-shape-of-ai-jaggedness-bottlenecks>



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Assumptions about the Future of Work

Our inaugural HoRizon Collective is built on six assumptions about what work could look like in Horizon 3, once AI has fully diffused. They are not meant as predictions, but as a shared starting point, a way of saying: **if this is true, this is what it means for work.**

1. **The time-and-place labour equation breaks down.** Since the Industrial Revolution, we have priced knowledge work by hours and location. When AI can work around the clock and anywhere, neither holds up as the basis for what human work is worth.
2. **We stop managing 'employees' and start managing the 'workforce ecosystem'.** Most of what we do in HR today concerns only permanent human staff. The workforce widens to include contract, gig and fractional humans, service and managed labour, and digital labour, all sourced and coordinated together.
3. **Knowledge alone is no longer the primary value driver of labour.** With PhD-level knowledge on tap across nearly every domain, what we prize in people shifts from what they know to what they do with it: orchestration, translation, connection, judgement and the ability to build belonging.
4. **Jobs are fundamentally redefined.** Static job architectures stop making sense when AI capabilities move faster than we can re-map the roles, and job families collapse into one another. The traditional job gives way to something much more fluid and holistic.
5. **Organisational hierarchy is no longer fit for purpose.** When every person manages digital labour and information flows freely, the manager's role shifts from overseeing people to enabling them, and the pyramid stops being the natural shape of an organisation. We move from managing people vertically to distributing work horizontally.
6. **Operating models need to enable AI-forward working.** Today's decision-making processes and culture were built for a human-only, permanent workforce, so they work against AI rather than with it. In future, operating models are designed around the flow of work and the value created rather than functional or domain expertise.

A note on the economic backdrop. Taken together, these shifts raise a much larger question about whether late-stage capitalism holds when AI becomes a new form of both capital and labour. Much like feudalism wasn't fit for purpose for the Industrial Revolution, capitalism is likely not going to work for the Age of AI. While we do not address it in this white paper, it is important to acknowledge this as the backdrop to everything else. In our first HoRizon Collective working session, HR leaders considered these assumptions and built on them. The group sharpened three of them: that everyone effectively becomes a manager, of digital labour if nothing else; that power dynamics and centres of gravity will shift as hierarchy flattens; and that how we value human contribution will fundamentally change.

The group then raised key questions to carry forward, including:

- Who owns the intellectual property when an individual worker creates value through AI?
- Where does an organisation start and end when your workforce spans permanent employees, fractional humans and autonomous agents?
- Who manages trust, both within the organisation and with the market it serves?
- How do we navigate generational differences in AI comfort, when some of the workforce has grown up with these tools and others are still adapting?
- How do we grow and augment human cognitive abilities without losing them in the process?

Taken together, these assumptions and questions form the basis for a strawman for the future world of work, HR and organisations.



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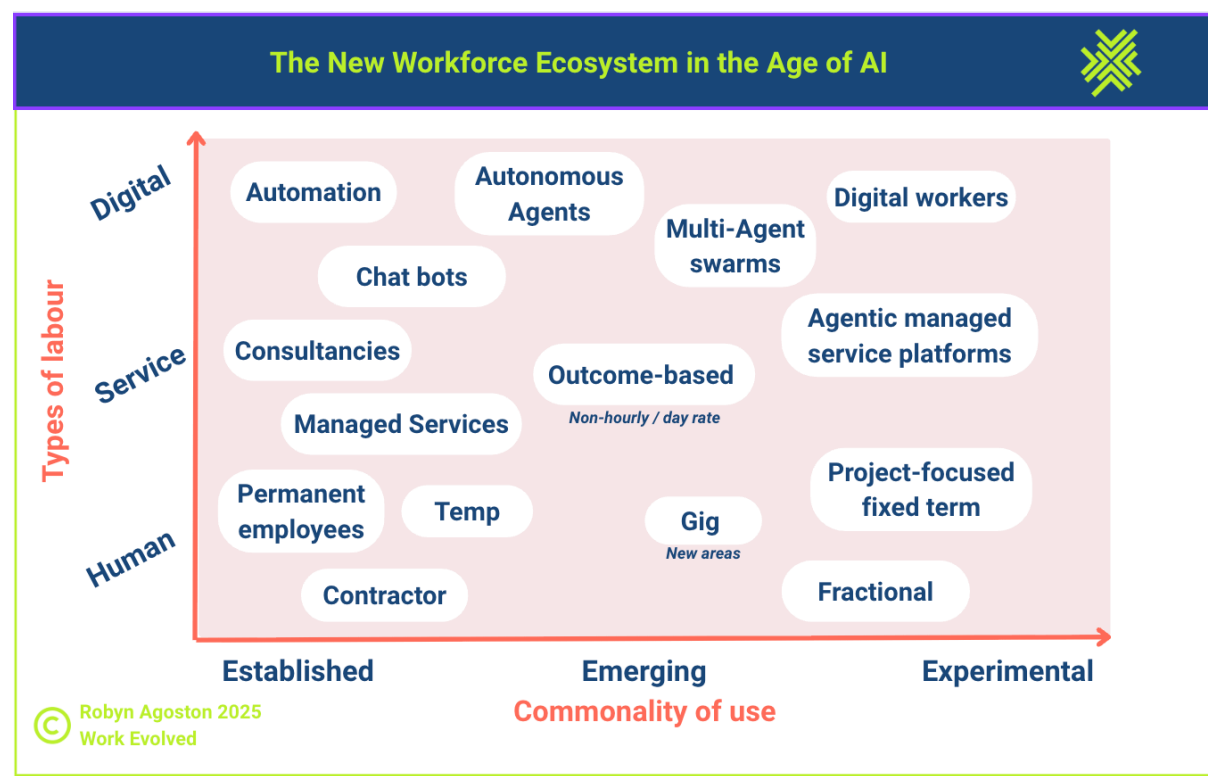
The New Workforce Ecosystem

For the first time, we have a technology that can complement and, in some places, replace humans in knowledge work. AI is not solely a tool to use, but rather a new form of labour that can be deployed and orchestrated alongside human workers, and that reframing changes how we source and manage work altogether. This fundamental change calls for a new model, one that covers both the human and digital sides of labour: we call it the New Workforce Ecosystem.⁴

The Ecosystem rests on two assertions. First, that the workforce can comprise human labour, digital labour, and something in between in the form of services. Second, that we should think of our companies as fluid, flexible ecosystems: systems of interdependent entities that exchange resources and together produce outcomes none could achieve alone.

Understanding the New Workforce Ecosystem

To make sense of the ecosystem, we group labour into three categories, human, service and digital, and plot each along a 'commonality of use' axis running from established to emerging to experimental.



⁴ The New Workforce Ecosystem, Work Evolved, R.Agoston (2025) - <https://workevolved.substack.com/p/the-new-workforce-ecosystem>



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Human Labour

The foundation of today's workforce. Its evolution runs from rigid, indefinite employment towards flexible, high-expertise liquidity, and spans both established and emerging forms of work.

Established

- **Permanent Employees:** Workers on an indefinite contract, receiving salary and benefits in exchange for exclusivity and ongoing availability. The default for decades, but inflexible and widely seen to be in decline.
- **Contractors:** Talent engaged at an hourly, daily or monthly rate to add capacity rather than deliver a specific project. Unlike employees they offer flexibility; unlike project workers they are paid for presence rather than output.
- **Temporary:** Workers engaged for a short, defined period to backfill roles or handle surges, usually through a staffing agency, traditionally used for continuity or low-complexity cover.

Emerging and Experimental

- **Gig:** Human labour sourced for specific tasks or micro-projects (also called 'nanoworkers'). Platforms enabled this for some categories (e.g. - Uber for rides, Fiverr for design), and the shift now is into complex, high-skill domains where experts sell their time per outcome or per workflow.
- **Project-focused Fixed Term:** An expert engaged directly through a Statement of Work to deliver a defined project in a defined timeframe. Not extra hands, but a specific outcome, after which they leave. Standard for consultancies, but soon to move to individuals.
- **Fractional:** Senior or executive experts who split their time across companies, providing leadership (a fractional CMO or CFO, say) for part of the week. Common in start-ups that do not yet need a full-time hire in the role.

Service Labour

Labour purchased as an external service from outside the core enterprise. Its evolution runs from buying people's time towards buying guaranteed outcomes and AI-driven services.

Established

- **Consultancies:** Firms hired to solve complex strategic problems or deliver change, relying heavily on human intellectual capital and billed on time-and-materials or fixed fees. Increasingly augmented by agents, though humans still do the primary work.
- **Managed Services:** Ongoing business functions (IT, HR, payroll) outsourced to a provider who guarantees continuity under a service level agreement and manages the mix of staff and technology. Also open to automation and agents, though the bulk of the work remains human (for now).

Emerging and Experimental

- **Outcome-based Services:** A contracting model for consulting or managed services where payment depends on a defined result, decoupling cost from time and effort. It transfers delivery risk to the provider and strongly incentivises them to lean on AI and automation.



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- **Agentic Managed Service Platforms:** a managed service delivered not through people but through autonomous agents, handling increasingly complex business functions. A few humans remain for edge cases and orchestration.

Digital Labour

Work performed mostly or entirely by technology. Its evolution runs from pre-defined scripts towards autonomous, human-like agents.

Established

- **Automation (RPA):** Script-based software that runs repetitive, rule-based tasks such as data entry, without deviation. Highly efficient, but rigid.
- **AI Chatbots:** Conversational interfaces using natural language processing to mediate between humans and systems. Familiar as ChatGPT or Gemini, these models now also power customer communication layers, retrieving information or providing increasingly sophisticated customer service support.

Emerging and Experimental

- **Autonomous Agents:** Goal-directed AI that can reason, research, plan and execute a task or series of tasks without continuous human intervention. Humans give an agent a goal / outcome, and it independently works out the steps then executes them, sometimes outside the defined parameters.
- **Multi-Agent Swarms:** A network of specialised agents working together across a significant part of an end-to-end workflow. A human usually stays in the loop for direction and final review, but agents hand off work to one another independently.
- **Digital Workers:** Anthropomorphic AI designed to fill a human role outright, with a persona, credentials and the ability to function as a team member inside existing structures. Still experimental, but appearing in niche use cases.

Managing the New Workforce Ecosystem

Reconceived this way, it becomes clear how much of the operating model has to change to leverage the full breadth and depth of the ecosystem. Headcount is no longer just humans to manage or a cost to optimise. The workforce becomes a dynamic, interconnected system of capabilities, spanning humans in various engagement models and digital labour in the form of agents, automation and intelligent systems. HR is no longer sourcing specific skills for specific job descriptions but rather cultivating and orchestrating productive capability in all its forms.

We argue that HR should lead that orchestration, but other functions have to make it work. IT and Digital own cyber-security, DevOps, systems integration, provisioning and credentialisation. Procurement can no longer gatekeep every form of labour except permanent staff; it has to shed the bureaucracy, speed up vendor onboarding and drop rigid categories so labour can move in and out of the ecosystem without friction. Add Legal, Compliance and Finance along with other domain expertise, and it becomes obvious this can only be solved across the organisation and no one function can solve for the New Workforce Ecosystem alone.



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Future HR: The Architect of Work

If the New Workforce Ecosystem changes what counts as labour, then HR must change what it manages and how it operates. For more than a century, HR has been built on a stable assumption: that work is performed almost entirely by permanent human employees. Even as organisations took on contractors, consultants and contingent workers, these stayed exceptions, handled largely through separate processes.

The Age of AI redefines the landscape. For the first time, organisations can draw on multiple forms of productive labour at once. Human expertise, digital workers, autonomous agents, managed services and specialist external talent all become part of one interconnected ecosystem. The challenge is no longer finding people. It is designing the best combination of capabilities, human and digital, to accomplish meaningful work.

This is one of the biggest shifts HR has faced since it emerged as a profession. Rather than the function responsible for employees, **HR becomes the architect of work itself.**

Sometimes the answer will be permanent employees. Sometimes it will be specialist contractors, project-based experts or managed services. Increasingly, parts of the workflow will be completed by autonomous agents working alongside humans. The question shifts from how we hire people to how the work is best accomplished. The future organisation continuously orchestrates all these forms of labour to reach better outcomes than any single model could deliver alone. **HR therefore shifts from managing employment to orchestrating productive capability.**

We describe here (only) 5 areas where the role of HR will need to be reconceptualized. There is much more that needs to be addressed, and these areas will be the subject of future sessions and developments under the umbrella of the Horizon Collective

Designing Work, Not Jobs

Traditional HR designs jobs today, but the future HR function will design work. Job architectures assume relatively stable roles with clearly defined responsibilities, yet AI capabilities already evolve faster than organisations can re-map role profiles. When whole categories of activity disappear, merge or automate within weeks, the logic of static job design erodes.

HR needs to start designing work, especially as the work itself becomes modular. Projects, outcomes and capabilities replace static lists of responsibilities and qualifications. Teams form around problems rather than reporting lines. Individuals contribute through combinations of technical expertise, human judgement, creativity, relationship-building and orchestration, while AI performs a growing share of repetitive cognitive work. HR becomes the discipline responsible for designing these dynamic work systems. This shift requires new capabilities in work architecture, workflow design, capability marketplaces and human-AI collaboration. HR does not hold these capabilities today, but needs to start building them now to meet the needs of an AI-forward workplace.

Shifting to dynamic and multiple Workforce Lifecycles

Today's employee lifecycle assumes a linear relationship between an individual and an employer: attract, recruit, onboard, develop, retain and exit. Tomorrow's labour now includes the full range of the New Workforce Ecosystem, and its needs are much broader.



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Every form of labour will need its own unique version of sourcing, onboarding, capability development, performance management, governance and retirement. Digital workers need secure deployment, contextual knowledge, permissions, continuous learning and eventual decommissioning. External specialists need rapid onboarding, seamless integration and frictionless offboarding. Human employees need development, belonging and long-term career growth. Rather than running multiple disconnected processes, organisations will need a single operating system capable of managing every contributor entering and leaving the ecosystem.

The lifecycle has to become dynamic rather than fixed, shifting from managing employees to the full holistic workforce. Instead of measuring headcount, organisations begin managing productive capacity. This is not the job of one function, but HR can and should take the lead in redesigning a workforce lifecycle that orchestrates productive capability across the enterprise.

Creating the Work Value Proposition

Today's organisations compete for talent through an Employee Value Proposition. In future, they will compete through a Work Value Proposition, answering a broader question: *why should any form of capability, human or digital, participate in this organisation?*

For humans, this still means meaningful work, development, flexibility, belonging and fair reward. But organisations must also become attractive to external experts, project specialists, fractional leaders and, increasingly, to digital capabilities that need structured environments, trusted data and effective governance to perform. Work itself becomes the product. Companies should think about selling their working environment and conditions the way they market products or services.

HR therefore needs to start thinking more like product management or marketing than like an operations or administration function. Different forms of work are designed for different contributors, and the Work Value Proposition has to cater to those differences. Internal opportunity marketplaces become as important as external recruitment. Matching capability to meaningful work becomes continuous rather than episodic. And talent acquisition gradually evolves into capability acquisition, serving the whole ecosystem rather than permanent employment alone.

The truest signal that a company has moved to a Work Value Proposition is how it treats the cost of human and digital labour. Today we treat remuneration as operational expenditure. In future, companies should treat their workforce ecosystem as an asset, if not on the balance sheet, then at least as they would any other asset that creates value.

Rethinking Performance and Reward

When work is increasingly accomplished across humans and AI together, many existing performance and reward systems stop being fit for purpose. Several questions remain open:

- Who deserves credit when an employee orchestrates multiple AI agents?
- How do we recognise judgement, creativity, coaching and relationship-building once routine execution is automated?
- How should organisations value contribution rather than activity or time worked?
- How should reward change when time and experience are no longer the main measure of pay?
- Do short and long term incentives still apply only to full-time human employees or should they expand to other types of labour?



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Organisations must also reconsider how they account for digital labour itself. AI agents consume resources, require onboarding and access, and create measurable economic value. HR, Finance and Technology will need new ways to understand productivity across mixed human-digital and fully digital teams.

In Horizon 3, humans could also bring their own agents into an organisation. These agents are their professional equity: their IP, experience and knowledge, invested to create a unique digital capability the enterprise can benefit from. Organisations will need to onboard this digital labour quickly, as they would a person, and that labour may remain after the human departs. How we manage and reward both the human and their active and legacy digital labour sits well outside today's HR remit, but it will become a growing gap as we move towards a workforce ecosystem.

Ethics, Governance and HR's Duty of Care

Perhaps HR's most important future responsibility is keeping technological progress human-centred. As organisations increasingly rely on AI to make recommendations, allocate work, monitor performance and support decisions, rigorous governance becomes central.

Questions of bias, transparency, explainability, intellectual property, privacy and accountability can no longer sit solely within IT, Ethics, Data Privacy or Legal. They become operating model design questions, and a key focus for HR. The Duty of Care should be codified and extended beyond permanent employees. Organisations increasingly depend on contractors, gig workers, external specialists and other contingent labour. Treating these contributors fairly does not mean treating everyone identically, but it does mean designing systems of work that are equitable, respectful and transparent.

The organisations that succeed will treat AI as a complement to human capability rather than a substitute. ROI measured in reduced labour costs and headcount savings has to give way to business cases built on growth, doing more with what you have, and innovation, creating new value in new ways.

Ultimately, HR will evolve from a people function into the steward of productive work itself. It becomes responsible for designing ecosystems where humans and AI contribute together, and for keeping organisations places where people continue to learn, grow and flourish.



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A New Model for Organisational Development

If the New Workforce Ecosystem changes who performs work, and if HR becomes the steward of productive work, then Organisational Development must change too. In the Age of AI, organisations need to be agile, fluid and flexible, which means changing the way work itself is organised.

Most organisations today are products of the Industrial Era. Their structures were built for a world where information moved slowly, knowledge was scarce, and coordination depended on hierarchy. Departments, reporting lines, job descriptions and approval layers all emerged to solve real problems, and for decades they worked well, but AI changes the assumptions they were built on. When intelligence becomes abundant, instantly available and distributed throughout an organisation, many of these mechanisms lose their value, and some actively constrain performance.

The future organisation cannot simply drop AI into an Industrial-era operating model. We have to redesign the operating model itself. So as we think about the future of Organisational Development, a few key shifts are required if operating models are to become adaptive systems of work rather than rigid structures.

From machines to adaptive systems

For over a century, organisations have been run essentially as machines, optimised through standardisation, control, predictability and efficiency. Every role has a defined purpose. Decision-making follows reporting lines, and managers coordinate work by directing people and ensuring quality and control. This worked well for manual labour in the Industrial era, and reasonably well as we shifted towards knowledge work, because coordination itself is expensive.

Today's environment is already looking very different. The world changes seemingly overnight and markets shift in response. Customer expectations evolve continuously as the pace of information increases. Knowledge expands and changes almost daily, making it hard for any one person to keep up in their own specialism, let alone across several. And AI can now process information, generate insight and coordinate workflows at a speed no hierarchy can match.

Rather than functioning like machines, future organisations need to increasingly resemble living systems: they sense, adapt and respond to changing environments. Intelligence should be distributed rather than centralised, and decisions happen close to where the information sits. Transparency increases, with decisions logged and tracked for the whole organisation to see. Coordination of both human and digital labour emerges through shared purpose and continual feedback rather than rigid supervision. In short, organisations shed their rigid reporting lines and static operations to become adaptive, responsive systems of work.

Note that not every organisation evolves in the same way. Some will likely still need hierarchy: manufacturing especially, where quality control and human-centred production lines depend on stable structures and defined operating models, even as AI augments the work.



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From functions to workflows

Most organisations are built around functional expertise. Marketing reports to Marketing, Finance to Finance, HR to HR. Grouping expertise this way made sense initially, but the structural and bureaucratic lines that divide functions become a hindrance in a fast-changing world. However customers, vendors and prospective employees do not experience an organisation through its functional divisions. It is why a company can restructure its entire operating model and little changes for the outside world.

Value is created through end-to-end workflows that cross multiple functions, each with its own contribution. So one of the biggest challenges in designing operating models for the Age of AI is creating systems where work flows freely while preserving the domain expertise that produces the value. Functional boundaries, each with their own standards, processes and incentives, can slow or block the flow of work. We are already seeing AI run up against structures designed for expertise. Agents do not care about reporting lines or how humans are organised; they deliver work wherever value flows, and increasingly that is horizontally rather than vertically.

The main design principle of an organisation has to shift from function to workflow. Instead of optimising departments independently, organisations optimise value creation across integrated workflows. Cross-functional capability networks gradually replace rigid departmental silos, while keeping the expertise needed to deliver. Functions focused on one domain will continue to exist, but increasingly as communities of expertise rather than centres of control, supporting and enabling work to flow through the organisation.

From hierarchy to enabled networks

Hierarchy will not disappear fully. Someone, human or digital, will still hold accountability for delivery. But who holds it, and how it is allocated, changes. Traditionally, managers coordinated information, allocated work, measured performance, monitored execution and controlled quality. Where organisations were complex, a single point of oversight made sense, and managers became the focal point for getting work done.

As AI takes on more coordination, and as digital labour becomes commonplace, the manager's role changes, shifting away from supervision towards enabling high-performance systems. Managers spend less time overseeing and evaluating decisions and more time creating clarity, building trust, resolving ambiguity and cultivating organisational learning. They help their teams orchestrate work effectively, with coordination becoming networked rather than bureaucratic. The manager moves from a point of control to a critical enabling role, making the most of both human and digital capability within their teams.



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From operational expense to organised contribution

Today, companies treat both humans and AI as an operational expense. Human labour is a cost, and many organisations see AI as just another technology implementation rather than a distinct form of intelligence that can be deployed to create value.

The future organisation treats AI differently, seeing digital labour as a critical capability for doing work. Digital workers become team members, autonomous agents participate in workflows, and shared organisational intelligence becomes available wherever decisions are made. Rather than automating isolated tasks, organisations redesign entire operating models around abundant intelligence, both human and digital.

Human contribution shifts as a result. When machines perform routine cognitive work, people move towards where judgement, ethics, creativity, empathy, relationship-building, systems thinking and meaning-making matter most. Designing operating models then means creating the adaptive conditions for humans to deliver that unique value.⁵ It means redesigning leadership, learning, collaboration, performance and culture around distinctly human strengths rather than industrial efficiency alone.

How to think about organisational design today

These shifts will deeply shape how we design organisations in future, and the decisions we make now will have consequences for years. Traditionally, reorganisations happen every few years. Changing structures is a long, complex process of analysis, consideration and options assessment. Labour laws that rightly protect workers add further complexity and time. Human workers have depended on clear job descriptions, defined reporting lines and hierarchical structures to do their work.

This will have to change, as both organisations and the people in them continuously evolve and adapt to a shifting environment. We need operating models that can sense emerging opportunities and reconfigure themselves: teams assemble and dissolve around opportunities, capabilities move where they are needed, digital workers deploy alongside human expertise, and learning becomes embedded in everyday work. Organisation design becomes an ongoing capability rather than a periodic intervention.

This fundamentally redefines Organisational Development. Rather than running restructuring programmes, OD becomes responsible for designing adaptive organisational ecosystems. Its responsibilities increasingly centre on designing for organisational capability.

These changes will not happen tomorrow. While we strongly believe OD should lead the design of operating models that include both human and digital labour, we also know OD professionals face a different day-to-day reality. That is why it matters how new structures are designed now: to enable AI deployment across the enterprise, and to limit the disruptive impact on human workers today. Using

⁵ For a model about how to think about unique human contribution, consider the Adaptive Professional, Work Evolved, Robyn Agoston [2025] - <https://workevolved.substack.com/p/becoming-the-adaptive-professional>



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design principles for the future AI organisation helps achieve both, giving you a workable structure now while making it easier to deploy and integrate digital capability later.

Design principles for the AI-forward organisation

Designing organisations for the Age of AI means:

- Creating decision-making architectures that distribute authority while maintaining governance.
- Designing AI-native operating models that integrate human and digital labour.
- Building organisational networks that maximise learning and knowledge flow.
- Developing cultures that encourage experimentation, trust and continuous adaptation.
- Ensuring technology strengthens rather than diminishes human contribution.
- Measuring organisational health through adaptability, collaboration and capability creation, not simply efficiency.

A New Design Philosophy

Ultimately, AI is an operating model challenge, not a technological one. Organisations that simply automate existing work will not survive, and neither will those that preserve outdated structures through incremental change. The enterprises that thrive will be the ones willing to redesign themselves around a fundamentally different understanding of work.

The goal is not an organisation with fewer people, nor one where technology replaces human contribution. It is an organisation where humans and digital labour each contribute what they do best, supported by operating models designed for adaptation rather than control. The future organisation is therefore neither fully human nor fully digital: it is hybrid, where it's organised around enabling work and creating value. Our future organisations are living ecosystems of capabilities, continuously sensing, learning and evolving, designed to create value while remaining deeply human at its core.



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WORK EVOLVED

In closing

Hopefully by now you understand that the future of work in the Age of AI is not a forecast to wait out. This societal level change is already underway: the labour equation is already breaking; the workforce is already widening beyond permanent employees; jobs are already dissolving into something more fluid; and the operating models built for an Industrial-era workforce are already working against the technology, not with it. None of this is Horizon 3: we are shifting to a new way of organising work today.

That is why the decisions we make very much matter today. The structures we design now, the way we treat human and digital labour, the principles we build into our operating models, will shape what is possible in the years to come. Diffusion buys us a little time, but not much and not for long. The organisations that start designing now will have the advantage, and the ones that wait will spend the next decade retrofitting or fail trying to catch up.

But starting now is only part of it. What we design matters as much as when we begin. The dominant narrative says an AI future comes at the cost of human work, that the technology decides and we adjust. We do not accept that: the future can be one where AI augments people rather than replaces them, where work is designed around human judgement, creativity and connection, and where the value of a person is not reduced to the tasks a machine can now do.

This human-centric, AI-augmented future does not arrive organically: it has to be designed, deliberately, by people who choose to put humans at the centre. It must be created by HR.

And this is HR's Duty of Care in practice. We have a responsibility to the people and organisations we serve to shape this future rather than let it be imposed on us. That means doing the work now: questioning the assumptions, redesigning the lifecycle, rethinking reward, and building the operating models that let humans and AI each contribute what they do best.

We opened by saying no one can figure this out alone: no single function, or person, holds all of this. HR should lead, but IT, Procurement, Finance, Legal and the business itself all have a major part to play, and so does every leader who shapes how their team works. The choices are not made somewhere above us, and they are not someone else's responsibility. We all have agency. This yes / and future is created by everyone.

This white paper is the starting point, not the conclusion. From here, the HoRizon Collective will open several workstreams to go deep on the areas that need it most, among them learning, leadership development, talent management, reward and talent acquisition. Over roughly two years, thought leaders and practitioners will develop a shared point of view on how each will evolve, leading in 2028 to a playbook for the future of work, HR and organisations. You do not have to figure it out alone, and the HoRizon Collective will help you along the way.

The future of work is not a foregone conclusion. It is ours to design, and it is ours to design well. Let's start now.